

ASSETS

Contingent assets are those assets whose possession we are unsure of. Some external factors are likely to influence this. For instance, many families have inheritance disputes, or we could also have a dispute with the government for a land piece or a dispute with a business partner. All these disputed assets, where ownership is not sure, are called contingent assets. We will assume that we are not going to get the contingent asset and list them below the balance sheet. If we do get it in the future, it will be treated as a surplus.

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LIABILITIES

Contingent liabilities are those liabilities that we might or might not have to pay. These are again not in our control. Contingent liabilities are treated differently from assets. Here, we go ahead assuming that we will have to pay the liability. If the contingency works in our favor and we do not have to pay the liability, then that will be considered a surplus. So, we will list down the contingent liabilities within the balance sheet and not outside the balance sheet.

Liabilities	Assets
Contingent Liabilities (a) _____ (b) _____ (c) _____	

We treat contingent assets and liabilities in this manner, due to an accounting concept called 'Conservatism'. We hope for the best but we prepare for the worst. We do not want our Lazy Financial Canvas to be ruined by a factor that is beyond our control. Hence, we assume we will not get any contingent assets and have to pay all liabilities. In reality, that is hardly ever the case, and our plan will be in better shape than we anticipated.

An important point to be kept in mind while determining the amount for contingency is to include only the disputed amount. Do not take the entire value of the asset/liability. Let's say, we have a property worth Rs. 50 lac under dispute and the net result will only value up to Rs.10 lac. Then we include Rs. 10 lac as contingent assets, while the rest can be counted as general assets. Consulting an expert will help us be more specific in this regard.